Outlook

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Approval rate is not the only funnel outcome

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

Loan Products wants to understand application drop-off, decline reasons, booked loans and early repayment stress as one journey. Failure anecdotes are beginning to drive decisions, although retries and late posting may be making the problem look larger than the affected-customer population.

Could the answer be that documentation friction drives drop-off? Or are we actually seeing that affordability declines are concentrated by product? I also do not want us to miss the possibility that some high-conversion channels create weaker early outcomes.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2021 as the new evidence point rather than recycling the earlier conclusion. The practical decision is which application step, policy explanation or channel process should change. Please send a working Excel file with the exception population and clear columns; I need the exceptions and counter-examples, not only an average.

Work from the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; monthly customer and KYC snapshots; customer contacts, complaints and suggestions; collections cases, promises to pay and recovery payments. Do not optimise approval rate without affordability, conduct and later-outcome controls.

Regards